

CFSI - What it means for the Supply Chain

Introduction to and the Risks of CFSI (Counterfeit, Fraudulent & Suspect Items)

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Agenda

1. Counterfeit, Fraudulent & Suspect Items
2. Mitigating CFSI at Sizewell C

Safety Last: the dangerous products still sold online

A Which? survey in November 2025 found:

- 90% of UK consumers had bought from online marketplaces in the past two years - 24 million people
- 78% of UK adults were confident that these sites ensured products were safe (up from 70% in 2023).
- However, Which? has estimated that at least 8.8 million consumers have experienced harm from faulty, unsafe or fraudulent products bought from online marketplaces, such as Amazon, Aliexpress, eBay, Temu, Etsy, Shein, and The Range.

The Product Regulation and Metrology Act, received Royal Assent in July 2025, but has been delayed.

‘Traditional’ retailers now host products from third-party sellers on their sites: B&Q, Debenhams, Mountain Warehouse, Superdrug, Tesco and The Range.

- B&Q – more than 2,000 third-party sellers on its site, accounting for 45% of total online sales.
- Tesco – more than 300,000 products listed on its marketplace.
- Superdrug – more than 50,000 items from third parties.

Retailers are quick to highlight the greater choice available for shoppers.

Safety Last: Dangerous products still sold online



Four common unsafe products

Why should we be wary of Counterfeit, Fraudulent & Suspect Items?

- They potentially pose lethal Health & Safety risks to you, as an individual and to the wider public. CFSI are often made with substandard materials under unregulated conditions. For example:
 - Medical products
 - Electronic products
 - Automotive components
 - Toys and Cosmetics
- The threat they present to our national and economic security. In critical industries like ours, the aerospace and defence sectors, CFSI present a particularly dangerous threat.
 - Catastrophic failure
 - Security breaches
- Their links to organised crime. Purchasing CFSI is not a victimless crime. Profits from counterfeits often fund large-scale criminal activities.
 - Funding criminal networks
 - Human trafficking

Counterfeit, Fraudulent & Suspect Items



Fake from Vinted, £110. Genuine from Dyson.com, £280



The fake Dyson hairdryer is the pink one.

- The colours on the box were less vivid
- Weighed 73g (or 10%) less than the genuine
- Wording on the casing had a typographic error and looked odd.
- Electrical testing revealed a significant fire risk – a fake fuse and non-compliant plug.



Fake from Vinted, £89. Genuine from GHD.com, £179

The counterfeit GHD hair straighteners are on the left.

- Weighed 30g (or 7%) less (despite being slightly longer)
- Heated up and cooled down more slowly than the genuine GHDs
- A fake fuse, fake cable and an older-style circuit board was found
- Construction indicated a risk of the plates becoming live in the event of a fault

Which?

Counterfeit, Fraudulent & Suspect Items



The fake Apple AirPods are on the left.

- The fakes weighed 4g (or 44%) less than the originals
- The pods case was whiter with a moulding that felt more 'plasticky'
- Different wording on the inside of the case
- Silver contact points on the bottom of the pods were bigger
- Listening tests found the sound quality to be 'very bad'



The fake England football shirt is on the left.

- Stitching inside the shirt was white (should be navy).
- Shirt's neck wasn't straight
- The motif felt less rigid
- The inside label was different
- No hologram on the tag

Which?

How widespread are illegal vapes?

Of 136 local Trading Standards bodies in England, 133 responded to BBC Freedom of Information requests, showing that between 2022 and 2024:

- At least 6,169,822 illicit or non-compliant vaping products were seized, including those taken at ports as well as in shops
- There were 3,766 records of retailers selling vapes to children making test purchases, with some retailers potentially caught more than once
- Retailers were recorded 7,594 times as selling illicit or non-compliant vapes on test purchases

Selling illegal vapes was a factor in at least 316 shop closures during that period, while selling to children was a factor in at least 67. Most of the closures were temporary and some retailers may have been shut down more than once.

The **Independent British Vape Trade Association** (IBVTA) insists the majority of vape shops operate within the law, serving adults who would otherwise be smoking.

A spokesperson said: "These business owners would never knowingly involve themselves in criminal activity. Rather, it is since the resurgence of popularity of single-use vapes, and therefore a popular 'cash market', that we've seen organised crime gangs get involved in importing and distributing vapes."

They said IBVTA had long called for greater enforcement action at borders to stem the flow of illegal products entering the country.

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Suspended engineer accused of forging fire safety certificates for high-rise flats

Mortgage lenders are withdrawing offers to homebuyers with fire safety certificates issued by Adam Kiziak's company, Tri Fire

Phil Hendry
BBC News

31 January 2025

An expert has been accused of signing off fire safety certificates for flats in high-rise blocks using the credentials and signature of another engineer without permission, the BBC has been told.

Adam Kiziak has been under investigation for potential malpractice by the Institution of Fire Engineers (IFE) - which suspended him in August 2024.

However, Mr Kiziak's company is understood to have continued to sign off safety certificates since then.

Lenders, including NatWest and Nationwide, are now withdrawing mortgage offers to people hoping to buy flats with fire safety certificates issued by Mr Kiziak's company, Tri Fire.

Counterfeit, Fraudulent & Suspect Items

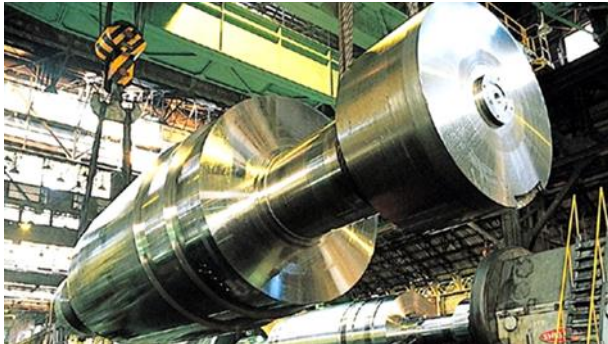
Japan Steel Works (JSW)

May 2022: JSW whistleblower alleges fraudulent records (non-nuclear business) going back to 1998(?). All SZC activities in JSW **on stop**.

EDF SA Task Force created, led by DQI. SZC was a participant.

Nov 2022: Analysis of JSW servers found the scope to include nuclear business. **Additional stop** of SZC activities in JSW.

SZC restart in July 2024. Over 2 years of uncertainty.



Turbine Generator shaft



Steam Generator shell

Datong Power Station, China

Manufactured by a Chinese pipe mill – sold to another Chinese "pipe producer"; did not perform the specified heat treatment – sold to a third "Chinese pipe company".

Then shipped to a company in Houston, USA that certified it as "Made in the USA" – Fabricated at another company – then installed on the Datong station.

Installed mid-2006. Pipe ruptured in operation within six weeks. Two people died, and many more injured.

Around 30 plants contained similar "fake pipe" all over China. Evidence exists where this type of pipe had been transferred into the US market.



Counterfeit pipe failure at Datong power station

Mitigating CFSI at Sizewell C

What are the Risks?

Counterfeit, Fraudulent & Suspect Items (CFSI) present a significantly threat to economies and market stabilities and is a specific risk to the nuclear industry and new build projects such as SZC.

It has the potential to impact upon the successful delivery of our UK nuclear programmes, our reputational and commercial success; threats to worker safety, future facility performance, the public, and the environment.

Therefore, preventing CFSI entering SZC is of paramount importance, be it raw materials, components, services, documentation, and even people.

CFSI Impact Statement on the UK

Recent analysis reveals that the global trade in goods infringing UK Intellectual Property (IP) rights has adverse implications. Originating overseas and destined for the United Kingdom, these products have a total value of GBP £12.1 billion. In the United Kingdom, this trade led to 1.4% in forgone sales, around 20000 job losses, and 0.23% of public revenue forfeited.

Analysis shows that 53% of imported counterfeit and pirated goods into the UK in 2021 were sold to *consumers who knew they were buying fake products*, with the remaining share purchased unwittingly.

Source: Strykowski, P. and M. Gaudiau (2024), "Trade in counterfeit products and the UK economy", OECD Trade Policy Papers, No. 287, OECD Publishing, Paris,

Mitigating CFSI at Sizewell C

C

Counterfeit Items - "Products that are **intentionally manufactured**, refurbished or altered to **imitate original products** without authorisation, in order to pass them off as genuine."

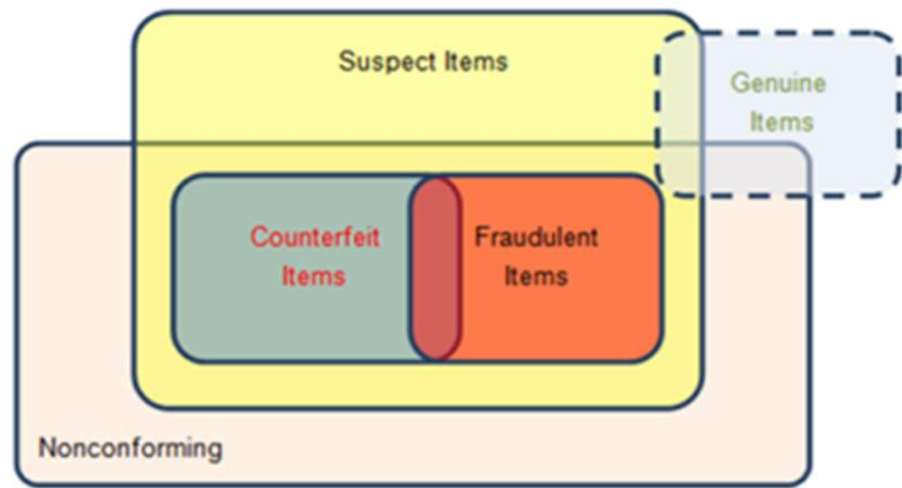
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Fraudulent Items - "Products that are intentionally **misrepresented with the intent to deceive**. Fraudulent items include items provided with incorrect identification or with falsified or inaccurate certification."

SI

Suspect Items - "Products for which there is an **indication or suspicion that they may not be genuine**."

Although I stands for item, it can also be raw materials, products, components, activities, services, documentation, and people



Suspect Items may initially be raised via a non-conformance process

What may be suspect could be a genuine error in manufacture or supply; i.e. a non-conformance

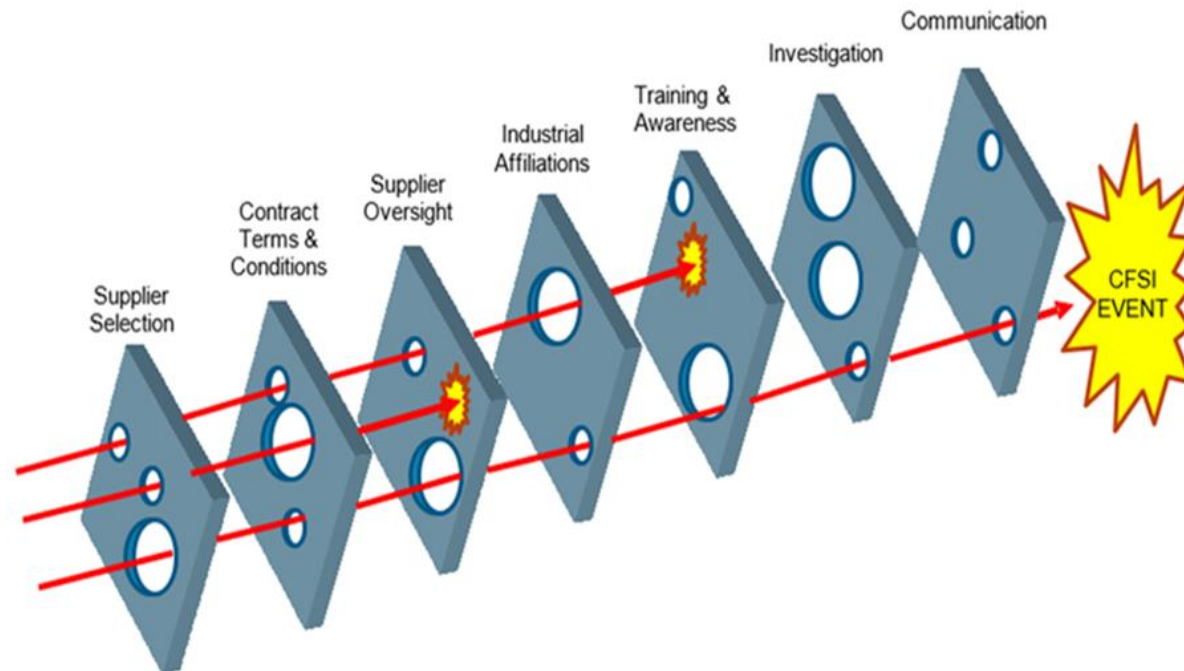
Mitigating CFSI at Sizewell C

Within SZC, the aim is to mitigate the risk of CFSI by undertaking three fundamental activities:

- **Prevention** of CFSI from entering our supply chain.
- **Detection:** Implementing robust means as early as possible, determining and taking appropriate action.
- **Resolution:** Evaluating the consequential impact upon safety, costs and work schedules in a timely manner.

These are captured within the 'Seven Levels of Defence' model (below), deployed in collaboration with HPC, to mitigate CFSI events.

- Supplier Selection
- Contract Terms & Conditions
- Supplier Oversight
- Industrial Affiliation
- Training & Awareness
- Investigation
- Communication



SZC activities within each of the ‘Seven Levels of Defence’ play a key role in preventing CFSI – e.g. products, services, documentation, lifetime records traceability and integrity, occurring as ‘Events’.

- **Supplier Selection**

- Onboarding process (verification questionnaires)
- Supplier Audit
- Capability Assessment (e.g. special processes)

- **Contract Terms & Conditions**

- Clear expectations on the supplier's management of CFSI risks/mitigations
- Use of White/Grey/Black markets – do you know your sources – integrity and traceability?

- **Supplier Oversight**

- Suppliers required to flow down the applicable standards and requirements throughout their supply chain tiers
- In-contract inspection by support inspection bodies and SZC of the supplier and sub-tiers to highlight, manage and mitigate risks

- **Industrial Affiliation**

- Develop industrial affiliations and industry alliances to promote the sharing of operational experience

SZC activities within each of the ‘Seven Levels of Defence’ (continued):

- **Training & Awareness**

- Mandatory CSFI training and awareness is key
- Confirm and verify that each link in the supply chain is aware, secure and observed

- **Investigation**

- Quarantine any suspected products, services or physical/electronic documentation. DO NOT return to the supplier
- Capture the event information (e.g. NCR). Notify stakeholders – it could be happening elsewhere
- Investigate to determine whether the event is confirmed as CFSI for further action and prevention
- Dissemination of CFSI information, to enable future learning

- **Communication**

- Events confirmed as CFSI to be shared with relevant stakeholders – use discretion
- Sensitive nature of some CFSI event communication may need to be restricted on a commercial/ “need-to-know basis”

Behaviours

Typical activities and behaviours to exhibit and support the “Seven Levels of Defence:

- Effective flow down of requirements and information throughout the supply chain
- Monitor ‘early warnings’/KPIs
- CFSI Training & Awareness flow down
- Open and honest communication
- Ensure suppliers are vigilant throughout their supply chain
- Raising concerns immediately (Risks, Observations, NCRs)
- Implementing robust correction and corrective actions
- Sharing CFSI Learning & Operational Excellence (OPEX)
- Building on best CFSI practices

Thank you

Closing questions and comments